

26TRCV00695 26TRCV00695

County: los-angeles

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Case Number: 26TRCV00695 Hearing Date: August 4, 2026 Dept: E

Superior Court
of California

County of Los
Angeles

Southwest
District

Torrance Dept. E

SERIES

29 OF PIER ACTIVE

TRANSACTIONS,
LLC, a Delaware limited liability company,

Plaintiff,

Case No.:

26TRCV00695

vs.

[Tentative]

Sustained in part/overruled in part

SQUAREDASH

FUNDING LLC, a Delaware limited liability company; XSQRD, INC., a Delaware corporation; MATT FRUGE, an individual; and DOES 1 through 20, inclusive,

Defendant.

Hearing

Date: August

4, 2026

Moving Parties: Defendants Matt Fruge and XSQRD

Responding Party: Plaintiff Series 29 of Pier Active
Transactions

HEARING: Demurrer

The

Court considered the moving, opposition, and reply papers.

RULING

The Court sustains the Demurrer as
to the third cause of action with leave to amend.

The Court overrules the Demurrer as
to the second and fourth causes of action.

BACKGROUND

On

February 205, 2026, Plaintiff Series

29 of Pier Active Transactions filed the Complaint against Defendant Squaredash Funding LLC, Matt Fruge, and XSQRD, alleging causes of action for breach of term loan agreement, breach of parent guaranty and pledge agreement, breach of personal guaranty, and declaratory and injunctive relief.

On April 28, 2026, Defendants Matt
Fruge and XSQRD filed the Demurrer.

On June 17, 2026, Plaintiff filed
the Opposition.

On June 24, 2026, Defendant filed
the Reply.

JUDICIAL NOTICE

The Court may take judicial notice of records
of (1) any court of this state or (2) any court of record of the United States
or of any state of the United States. (Evid. Code § 452 subd. (d).) The Court
may also take judicial notice of “Official acts of the legislative, executive,
and judicial departments of the United States and of any state of the United
States.” (Evid. Code § 452 subd. (c).)

Defendants request that
the Court take judicial notice of the Promissory Note dated March 29, 2024, the
Parent Guaranty Agreement dated March 29, 2024, the Personal Guaranty Agreement
dated March 29, 2024, and the Pledge Agreement dated March 29, 2024. However,
“the existence of a contract between private parties cannot be established by
judicial notice ... The existence and terms of a private agreement are not
facts that are not reasonably subject to dispute and that can be determined by
indisputable accuracy.” (The Travelers Indemnity Co. of Connecticut v.
Navigators Specialty Ins. Co. (2021) 70 Cal.App.5th 341, 354-355.)
Nevertheless, because the agreements are attached to the Complaint, the Court
can review them without taking judicial notice of them.

Therefore, the Court
denies Defendants' request for judicial notice.

LEGAL STANDARD

A demurrer can be used only to challenge
defects that appear on the face of the pleading under attack or from matters
outside the pleading that are judicially noticeable. (Blank v. Kirwan
(1985) 39 Cal.3d 311, 318.) “To survive a demurrer, the complaint need only
allege facts sufficient to state a cause of action; each evidentiary fact that
might eventually form part of the plaintiff's proof need not be alleged.” (C.A.
v. William S. Hart Union High School Dist. (2012))

53 Cal.4th 861, 872.) For the purpose of testing the sufficiency of the cause of action, the demurrer admits the truth of all material facts properly pleaded. (Aubry v. Tri-City Hospital Dist. (1992) 2 Cal.4th 962, 966-967.) A demurrer “does not admit contentions, deductions or conclusions of fact or law.” (Daar v. Yellow Cab Co. (1967) 67 Cal.2d 695, 713.)

A pleading is uncertain if it is ambiguous or unintelligible. (Code Civ. Proc., § 430.10, subd. (f).) A demurrer for uncertainty may lie if the failure to label the parties and claims renders the complaint so confusing defendant cannot tell what he or she is supposed to respond to. (Williams v. Beechnut Nutrition Corp. (1986) 185 Cal.App.3d 135, 139, fn. 2.) However, “[a] demurrer for uncertainty is strictly construed, even where a complaint is in some respects uncertain, because ambiguities can be clarified under modern discovery procedures.” (Khoury v. Maly’s of California, Inc. (1993) 14 Cal.App.4th 612, 616.)

DISCUSSION

Meet
and Confer

Before filing a demurrer, “the demurring party shall meet and confer in person or by telephone with the party who filed the pleading that is subject to demurrer for the purpose of determining whether an agreement can be reached that would resolve the objections to be raised in the demurrer.” (Code Civ. Proc., § 430.41, subd. (a).)

Here, Defendants have filed a form meet and confer declaration. Plaintiff argues that Defendant did not meet and confer adequately. However, as Plaintiff has filed an opposition, the Court finds that Plaintiff has not been prejudiced. Furthermore, even if the Court found that Defendants had failed to meet and confer in good faith, “a determination by the court that the meet and confer process was insufficient shall not be grounds to overrule or sustain a demurrer.” (Code Civ. Proc. § 430.41 subdivision (a)(4).)

Defendant Fruge demurs to the third cause of action. Defendant

XSQRD demurs to the second and fourth causes of action.

The

Complaint alleges that Plaintiff is a private credit investment firm that provides senior secured credit facilities to lenders. On March 29, 2024, Plaintiff entered into a Term Loan Agreement with Defendant SquareDash as Borrower and Defendant XSQRD as Parent and Servicer, providing a credit facility of up to \$15,000,000, extendable to \$25,000,000, with proceeds deposited into a DACA account. The loan proceeds were restricted solely to funding the origination and acquisition of insurance accounts receivable relating to property restoration work performed by roofing and other contractors.

Concurrently,

Defendant XSQRD executed a Parent Guaranty agreeing to pay 10% of the outstanding principal, accrued interest, and enforcement costs upon default, and a Pledge Agreement granting Plaintiff a first-priority security interest in Defendant XSQRD's full ownership interest in Defendant SquareDash. Defendant Fruge, the founder and CEO of both Defendant SquareDash and Defendant XSQRD, executed a Personal Guaranty agreeing to indemnify Plaintiff for all losses arising from Defendant SquareDash's failure to satisfy its obligations under the Term Loan Agreement.

In

early 2025, Defendant SquareDash wound down its roofing financing operations and began using Term Loan proceeds to fund a separate technology and software venture called CapOut, which was not an authorized use of the loan proceeds. By March 2025, the winding-down process was complete, contractor loans had become past due, and Defendant SquareDash had stopped making payments to Plaintiff. Plaintiff's attempts to contact Defendant SquareDash and Defendant Fruge went unanswered.

On

November 5, 2025, Plaintiff issued a Notice of Event of Default, and on January 23, 2026, issued a Notice of Acceleration and Demand for Payment of \$378,158.52, consisting of \$366,233.51 in unpaid principal and \$11,925.01 in accrued interest. Plaintiff concurrently provided a proposed Payoff Letter reducing the payment amount to \$328,158.52 after application of a \$50,000 default reserve deposit. As of February 23, 2026, no payment or response had been received from any Defendant.

Cause of action 2 – Breach of Parent Guaranty
and Pledge Agreement

“A lender is entitled to judgment on a breach of guaranty claim based upon undisputed evidence that (1) there is a valid guaranty, (2) the borrower has defaulted, and (3) the guarantor failed to perform under the guaranty.” (Gray1 CPB, LLC v. Kolokotronis (2011) 202 Cal.App.4th 480, 486.)

Defendants argue the second cause of action fails to state a claim because the relief Plaintiff seeks exceeds what the governing agreements provide.

Defendants contend that the Parent Guaranty the parties executed expressly caps its aggregate liability at 10% of covered obligations, and that Plaintiff's prayer for joint and several relief and allegations seeking transfer of all ownership and assets far exceed that contractual limitation. Defendants further contend that the Pledge Agreement grants Plaintiff a first-priority security interest in Defendant XSQRD's membership interests in Defendant SquareDash Funding LLC and provides post-default remedies but does not require automatic transfer of those interests upon default. Defendants argue that after an event of default, Plaintiff may only elect to exercise its rights as a secured party, including transfer or registration remedies, subject to the parties' agreement and Article 9 of the California Commercial Code. Last Defendant argues that enforcement of collateral rights requires foreclosure or strict-foreclosure procedures, and that Plaintiff cannot simply plead its way into ownership of the collateral or of all of Defendant SquareDash Funding LLC's property.

In opposition, Plaintiff argues the demurrer to the second cause of action should be overruled because Defendant XSQRD fundamentally misconstrues the nature of its obligations under the Parent Guaranty and the Pledge Agreement.

Plaintiff contends there are two separate and sequential conditions at issue that Defendant XSQRD improperly conflates. Plaintiff argues the first condition is Defendant SquareDash's failure to make monthly payments under the Term Loan Agreement, which immediately triggers Defendant XSQRD's obligation under the Parent Guaranty to pay Plaintiff ten

percent of the unpaid balance and other enumerated losses. Plaintiff further contends the second and separate condition is Defendant XSQRD's own failure to pay that ten percent guaranty, which then triggers Plaintiff's entitlement under Section 4 of the Pledge Agreement to hold, transfer, or register Defendant XSQRD's full membership interests in Defendant SquareDash in Plaintiff's own name. Plaintiff notes that Defendant XSQRD could have prevented the second condition from arising simply by paying the ten percent guaranty when due but failed to do so.

Plaintiff also argues that, contrary to Defendant XSQRD's position, neither the Parent Guaranty nor the Pledge Agreement requires Plaintiff to initiate foreclosure proceedings or exercise remedies under the California Commercial Code before seeking the ownership transfer. Plaintiff contends that California Commercial Code section 9602(a)(1) permits but does not require a secured party to foreclose on its security interests, and that it expressly permits a secured party to reduce a claim to judgment, which is precisely what the complaint seeks to accomplish.

The Complaint alleges that Defendant XSQRD "breached the Parent Guaranty by failing to reimburse PIER in an amount equal to ten percent (10%) of the balance of SQUAREDASH's outstanding principal amounts and accrued but unpaid interest under the TLA," as well as "failing to transfer XSQRD's ownership interest in SQUAREDASH to PIER upon SQUAREDASH's defaults on its obligations under the TLA." (Complaint ¶¶ 45-46.)

Defendants' argument regarding the ownership transfer is immaterial as it is undisputed that Plaintiff's breach of guaranty theory based on the failure to pay 10% of Defendant SquareDash's debt is valid, and "If the complaint states a cause of action under any theory, regardless of the title under which the factual basis for relief is stated, that aspect of the complaint is good against a demurrer. [W]e are not limited to plaintiffs' theory of recovery in testing the sufficiency of their complaint against a demurrer but instead must determine if the factual allegations of the complaint are adequate to state a cause of action under any legal theory." (Quelimane Co. v. Stewart Title Guaranty Co. (1998) 19 Cal.4th 26, 38.)

Therefore, the Court overrules the Demurrer as to the second cause of action.

Cause of action 3 – Breach of Personal

Guaranty

"A lender is entitled to judgment on a breach of guaranty claim based upon undisputed evidence that (1) there is a valid guaranty, (2) the borrower has defaulted, and (3) the guarantor failed to perform under the guaranty." (Gray1 CPB, LLC, supra, 202 Cal.App.4th 480, 486.)

Defendants argue the third cause of action against Defendant Fruge fails as a matter of law because the Personal Guaranty he executed is not a general payment guaranty, and the Complaint fails to plead facts establishing any of the specific conditions that trigger his personal liability.

Defendant contends that while Defendant Fruge signed the operative loan documents on behalf of Defendant SquareDash and Defendant XSQRD in his capacity as CEO, the only agreement he signed in his personal capacity is the Personal Guaranty, which limits his liability exclusively to losses arising from specified trigger events, including fraud or criminal acts, material misrepresentations, gross negligence or willful misconduct, or prohibited disposition or encumbrance of collateral. Defendant further argues that ordinary payment default is not among those trigger events, yet the Complaint seeks to hold Defendant Fruge personally liable simply because Defendant SquareDash allegedly failed to repay principal and interest. Defendant also notes that the boilerplate alter ego allegations in the Complaint do not convert Defendant Fruge's narrow personal guaranty into a broad payment guaranty, and contends the action against Defendant Fruge should therefore be dismissed in its entirety.

In opposition, Plaintiff contends Defendant's argument that the Complaint must specifically identify a Trigger Event to survive demurrer is unsupported by any legal authority, and that a complaint is sufficient even where essential facts appear only inferentially or by necessary implication. Plaintiff notes that courts must give a Complaint's allegations an objectively reasonable interpretation read as a whole, and that the complaint's factual allegations, taken together, are sufficient to trigger at least three of the four enumerated trigger events.

On misrepresentation, Plaintiff argues Defendant Fruge, as CEO, induced Plaintiff to enter the Term Loan Agreement by

representing that proceeds would be used solely to fund insurance accounts receivable for property restoration work, yet Defendant SquareDash under Defendant Fruge's leadership simultaneously wound down that business and diverted loan proceeds to fund CapOut, a technology and software venture, without Plaintiff's knowledge or consent, which can be reasonably inferred from the stark difference between the two businesses.

On gross negligence, Plaintiff contends that Defendant Fruge's decision to redirect Defendant SquareDash's operations and divert loan proceeds to an unauthorized purpose without informing or obtaining consent from Plaintiff constitutes gross negligence or willful misconduct within the meaning of that trigger event.

On hindrance or disposition of collateral, Plaintiff argues that Defendant Fruge's use of DACA account funds for CapOut constituted a transfer or disposition of Plaintiff's first-priority security interest in those funds, which fall within the definition of Collateral under the Term Loan Agreement, thereby triggering that trigger event and Defendant Fruge's personal indemnification obligation.

Plaintiff concludes that because at least three Trigger Events are adequately alleged by reasonable inference from the Complaint's facts, Defendant Fruge materially breached the Personal Guaranty by failing to indemnify Plaintiff for its losses, and the demurrer should be overruled.

Here, the Personal Guaranty reads "the Personal Guarantor hereby agrees upon the occurrence of any Trigger Event (as defined below), to be unconditionally liable in the amount of, and to indemnify, reimburse, and hold Lender harmless from the Guaranteed obligations. (Complaint Exhibit 3.) The listed trigger events are fraud, misrepresentation, gross negligence, or hindrance. (Complaint Exhibit 3.) The Complaint alleges that Defendant Squaredash used funds intended for its roofing financing business to finance its new "CapOut" business. (Complaint ¶ 29.) As to fraud, the Complaint contains no allegations of intent or of Defendant Fruge's knowledge of the switch when the contract was signed. As to hindrance or gross negligence, the Complaint does not contain any allegations against Defendant Fruge, under which either theory could be found. Thus, cause of action 3 is improper as the Complaint fails to allege that Defendant Fruge was required to perform under the guaranty.

Therefore, the court sustains the Demurrer as to the third cause of action with leave to amend.

Cause of Action 4 – Declaratory

Relief

All

that Code of Civil Procedure section 1060 requires is that there be “actual controversy relating to the legal rights and duties of the respective parties.” (Ludgate Ins. Co. v. Lockheed Martin Corp. (2000) 82 Cal.App.4th 592, 606.) “The actual controversy referred to in [Code of Civil Procedure section 1060] is one which admits of definitive and conclusive relief by judgment within the field of judicial administration, as distinguished from an advisory opinion upon a particular or hypothetical state of facts. The judgment must decree, not suggest, what the parties may or may not do.” (Coronado Cays Homeowners Assn. v. City of Coronado (2011) 193 Cal.App.4th 602, 608.)

Defendant argues the fourth cause of action for declaratory and injunctive relief should be dismissed because it merely repackages the same accrued contract disputes already alleged in the other causes of action. Defendant contends that because Plaintiff's own allegations establish a matured default, acceleration, and an existing entitlement to damages and collateral remedies, the rights at issue are already determined by the contracts' existing terms and the secured-transactions remedies available after default, rendering declaratory and injunctive relief unnecessary and improper as pleaded.

In opposition, Plaintiff argues the fourth cause of action should not be dismissed because it seeks relief that is materially distinct from the monetary damages sought under the breach of contract claims. Plaintiff contends Defendant's demurrer on this cause of action is unsupported by any legal authority or analysis, and notes the grounds were not even raised during meet and confer efforts.

Plaintiff argues the declaratory relief sought, specifically a judicial declaration that Plaintiff is the sole and true owner of Defendant SquareDash, is substantively different from a claim for money damages and is necessary to enforce Plaintiff's contractual ownership rights under the Pledge Agreement. Plaintiff also argues the injunctive relief

sought, enjoining Defendants from transferring assets and interests to escape their contractual obligations, is similarly distinct and serves an independent purpose that cannot be achieved through a damages award alone. Plaintiff concludes the Complaint adequately states a cause of action for declaratory and injunctive relief, and the demurrer should be overruled.

Here, Plaintiff's fourth cause of action "seeks a judicial determination and declaration from the Court that PIER is the sole owner of all equity interest in SQUAREDASH as well as all cash and other property owned by SQUAREDASH." (Complaint ¶ 61.) Thus, the Court finds that there is an actual dispute arising from the language of the parties' agreements over whether the agreements require the transfer of ownership equity to Plaintiff that is not duplicative of the breach-of-guaranty claim, as it seeks other remedies, including injunctive relief.

Therefore, the Court overrules the Demurrer as to the fourth cause of action.

Superior Court
of California

County of Los
Angeles

Southwest
District

Torrance Dept. E

SERIES
29 OF PIER ACTIVE

TRANSACTIONS,
LLC, a Delaware limited liability company,

Plaintiff,

Case No.:

26TRCV00695

vs.

[Tentative]

Sustained

SQUAREDASH

FUNDING LLC, a Delaware limited liability company; XSQRD, INC., a Delaware corporation; MATT FRUGE, an individual; and DOES 1 through 20, inclusive,

Defendant.

Hearing

Date: August

4, 2026

Moving Parties: Plaintiff Series 29 of Pier Active
Transactions

Responding Party: Defendant Squaredash Funding

HEARING: Demurrer to the Answer

The

Court considered the moving, opposition, and reply papers.

RULING

The

Court sustains the Demurrer with leave to amend.

BACKGROUND

On

February 205, 2026, Plaintiff Series

29 of Pier Active Transactions filed the Complaint against Defendant Squaredash Funding LLC, Matt Fruge, and XSQRD, alleging causes of action for breach of term loan agreement, breach of parent guaranty and pledge agreement, breach of personal guaranty, and declaratory and injunctive relief.

On April 28, 2026, Defendant Squaredash Funding filed the Answer.

On May 8, 2026,
Plaintiff filed the Demurrer to the Answer.

On June 30, 2026,
Defendant Squaredash
Funding filed the Opposition.

On July 28, 2026, Plaintiff filed
the Reply.

LEGAL STANDARD

A demurrer can be used only to challenge defects that appear on the face of the pleading under attack or from matters outside the pleading that are judicially noticeable. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) A demurrer to an answer may be brought on one of three (3) grounds: (1) failure to state facts sufficient to constitute a defense; (2) uncertainty; and (3) failure to state whether the contract alleged in the answer is written or oral. (Code Civ. Proc., § 430.20.)

Affirmative defenses should be relevant to a plaintiff's legal claims and averred carefully, with as much detail as the facts constituting the corresponding causes of action in the complaint. (*FPI Development, Inc. v. Nakashima* (1991) 231 Cal.App.3d 367, 384.) Affirmative defenses should not be proffered in the form of "terse legal conclusions." (*Ibid.*)

DISCUSSION

Meet and Confer

Before filing a demurrer, "the demurring party shall meet and confer in person or by telephone with the party who filed the pleading that is subject to demurrer for the purpose of determining whether an agreement can be reached that would resolve the objections to be raised in the demurrer." (Code Civ. Proc., § 430.41, subd. (a).)

On May 7, 2026, the

parties met and conferred telephonically regarding the instant Demurrer. Therefore, the Court finds that Plaintiff has satisfied the meet and confer requirements.

Merits

Plaintiff demurs to affirmative defenses 1-18 on the grounds that they do not state facts sufficient to constitute a valid defense.

Here, the Court finds that all 18 affirmative defenses are purely legal conclusions with no facts tying them to the instant case. Thus, the Court finds that all 18 affirmative defenses fail to state facts sufficient to constitute a defense as they are merely terse legal conclusions,

Therefore, the Court sustains the Demurrer with leave to amend.